



Figure 6.1 The Mechanics of MakerDAO's DAI

The viability of the MakerDAO ecosystem critically depends on DAI maintaining a 1:1 peg to the USD. Various mechanisms are in place to incentivize demand and supply to drive the price toward the peg. The primary mechanisms for maintaining the peg are the debt ceiling, stability fee, and DAI savings rate (DSR). These parameters are controlled by holders of the governance token Maker (MKR) and MakerDAO governance, which we will discuss toward the end of this section.

The stability fee is a variable interest rate that vault holders pay in DAI on any DAI debt they generate. The interest rate can be raised or lowered (even to a negative value) to incentivize the generation or repayment of DAI to drive its price toward the peg. The stability fee funds the DSR, a variable rate any DAI holder can earn on their DAI deposit. The DSR compounds on a per-block basis. The stability fee, which must always be greater or equal to the DSR, is enforced by the smart contracts powering the platform. The analogous situation in centralized finance is that the loan